

GOGO pitch deck

Both benches landed REJECT, so this deck is a no-entry pitch with reopen conditions. I don't have read access to the court_artifacts directory in this session, so I'm delivering the deck as the message body for the pipeline to capture.

PITCH — GOGO — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION): REJECT — no position, no orders; both benches (8/10 red kill, sustained by blue 8/10) found the guidance cut is a real operating decline plus a permanent legal cost, not the mislabeled one-time item the original idea claimed.

What we believe

Gogo (in-flight internet for business jets, ~\$3.64/share, down 72% from its 52-week high) cut its full-year 2026 guidance on August 6 alongside Q2 results. The idea that brought it to court was a bull case: the cut looked mostly cosmetic — supposedly \$27M of the free-cash-flow reduction was a newly disclosed \$30M “strategic investment” plan, meaning the underlying business was roughly fine and the stock was trading at a 15–21% free-cash-flow yield.

After reading both the Q1 and Q2 guidance press releases word-for-word, we believe the opposite. The \$30M strategic-investment figure was **already inside the prior guidance, in identical language** — so it explains none of the cut. The ~\$25M free-cash-flow reduction is roughly \$14M of litigation costs and ~\$11M of genuine operational weakness, and the earnings (EBITDA) guide fell about \$12M (–5.5%) on a like-for-like basis three months after being reaffirmed. On top of that: the headline free cash flow leans on a finite ~\$45M/year FCC reimbursement program; a jury found Gogo **willfully** infringed SmartSky's patents (opening the door to up to ~\$68M tripled damages plus an ongoing royalty on the very 5G product meant to drive growth); its largest visible customer group (the NetJets fleet, 600+ aircraft) is migrating to Starlink through 2027; cash is \$63M and falling against ~\$22M/year of legal spend; and essentially all the debt comes due on a single date, April 30, 2028, at roughly 3.8x leverage.

What the market believes

The market has already punished the stock severely — it sits 20% above its 52-week low after the post-guidance drop. The prevailing story is “cheap on free cash flow, but melting”: a legacy air-to-ground network being shut off, customers defecting to Starlink, a patent loss, and a debt wall. At this price the market is treating the guidance cut as real deterioration, not noise. One genuine positive the market may be underweighting (our blue bench found it): the **service** (recurring subscription) revenue guide is essentially unchanged (~\$740M before vs ~\$741M now) — the entire ~\$42.5M revenue cut is low-margin equipment sales. The recurring franchise is guided to hold through the network-shutoff year.

But flat service revenue combined with lower earnings means service margins are compressing, so this tempers the bear case rather than overturning it.

Why we might have edge

Honestly: the court concluded we don't, on the long side. The only claimed edge — “the cut is non-operating” — was refuted by primary documents in one read. What we do have is process knowledge: we caught a specific analytical trap (a company re-naming an item already inside old guidance, which careless readers book as a new incremental hit). That trap is now encoded in our detector library. The residual asymmetric knowledge is the blue bench's flat-service-revenue finding, which most quick reads of the release likely missed — it's the seed of a possible future long if the recurring business proves durable, but it is not enough today.

Why it might be priced in

It largely is, in the bearish direction — a 72% drawdown already discounts a lot of pain. The reason we still reject rather than bottom-fish: the apparently high free-cash-flow yield is an illusion of subsidy and timing. Strip the \$45M FCC reimbursement and guided free cash flow is roughly \$30M — about a 6% yield on the ~\$492M equity value (blue bench bounds the true run-rate anywhere from \$30M to \$75M because the reimbursed capital spending also ends when the program does; the press releases can't resolve it). Six-ish percent is thin compensation for 3.8x leverage, an uncapped willful-infringement tail attached to the growth product, a marquee customer exodus, and a single-date 2028 refinancing. Cheapness that depends on a government reimbursement and precedes a debt wall is not a mispricing; it's fairly priced distress.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“\$30M strategic investments = -\$27M of the FCF cut” (the bull thesis's core)	Fetches Q1 and Q2 guidance press releases, compared inclusion language verbatim (Q1 PR , Q2 PR)	The \$30M was inside the prior FCF guide in identical words; the incremental effect is \$0. The -\$25M cut ≈ \$14M litigation + \$11M operations. Our own triage bench manufactured the -\$27M delta from a re-disclosed constant — this deck exists because of that error.	REFUTED (thesis); both benches independently replicated
EBITDA guide cut is operational	Arithmetic on both releases' stated inclusions: prior \$208M mid + \$3M + \$8M = \$219M like-for-like vs new \$180M + \$5M + \$22M = \$207M	-\$12M (-5.5%) operational cut. Red bench's own bridge was garbled (it subtracted the add-backs instead of adding); blue corrected the arithmetic; the conclusion survived unchanged.	CONFIRMED
“15–21% FCF yield”	Both releases: guidance assumes \$45M FCC reimbursement, net capex \$20M	Ex-reimbursement, guided FCF ≈ \$30M ≈ 6% yield. Red called this fatal; blue correctly demoted it to a sizing issue — the reimbursed capex also ends	PARTIALLY — subsidy real, exact floor unproven

Claim	How checked	Found	Confirmed?
		with the program, so run-rate FCF is only boundable at \$30–75M	
“Revenue resilient (–1%) despite units –15%”	Evidence pack XBRL (quarterly revenue ~\$102M in 2024 → ~\$226M in 2025) + Q2 release	Resilience is an artifact of consolidating the Satcom Direct acquisition plus military/government +40%; core business-aviation service revenue fell 8% YoY; departing NetJets planes are high-revenue units	CONFIRMED (mix); forward acceleration plausible, not proven
SmartSky litigation is contained	News/PR review (verdict PR); court docket not read	Willful verdict; enhanced (up to ~3x, ~\$68M) damages and a running royalty through 2033/35 on the 5G product are being sought; post-trial motions pending	CONFIRMED as filed posture only
Service-revenue guide held flat (bull-direction find)	Blue bench bridge: ~80%×\$925M vs ~84%×\$882.5M	~\$740M vs ~\$741M — the whole revenue cut is equipment	CONFIRMED
Live price \$3.635 / no position / no orders	IBKR was permission-denied to both benches ; used the pack’s Yahoo tape and book snapshot	Not broker-verified this session	UNVERIFIED (disclosed)
Next earnings date 2026-11-05	yfinance-derived only; no company PR names it	Treat as approximate	UNCONFIRMED

PROPOSED ENTRY BANDS

The courts say **no entry at any current price** — so these are reopen conditions, not orders:

- **Price reopen: below ~\$1.50** (≈ \$200M market value on ~136M shares). That is where the benches’ own worst-case math — \$30M of free cash flow with the FCC subsidy stripped out and litigation burn continuing — would itself equal a 15% yield, the return the bull case falsely advertised at \$3.64. A touch of that level reopens a fresh court, not an automatic buy: by then the 2028 refinancing question dominates everything.
- **Event reopeners (any one triggers a re-court at market price):**
 1. The 10-Q or a later filing shows the ~\$11M operational cash-flow cut was FCC-receivable *timing*, not demand (red’s own reversal trigger).
 2. SmartSky’s enhanced-damages and ongoing-royalty motions are **denied** (removes the uncapped tail).
 3. The April 2028 debt is refinanced at no worse than the current spread (removes the wall).
 4. A quarterly report beats on service revenue **with** revenue-per-aircraft on the legacy network disclosed flat or up (blue’s trigger), or NetJets is disclosed at under 5% of business-aviation service revenue with the new Galileo product’s economics shown comparable.
- **Sizing if any reopen court flips to buy:** small — the litigation and refinancing tails are all-or-nothing and can’t be hedged; both benches barred a short as well (borrow and crowding never checked, and short-premium structures are off-limits in this book).

- **Catalyst dates:** ~2026-11-05 next earnings (unconfirmed); SmartSky post-trial rulings (no date; watch the docket via 8-K); 2028-04-30 debt maturity.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 1.5 (deck-provisional: ex-FCC-subsidy \$30M FCF = 15% yield at ~\$200M cap - reopen court, not auto-buy)
- filing watch: 8-K until 2027-02-05 (deck-provisional: SmartSky post-trial motion ruling, 2028 debt refinancing, or confirmed Q3 date)
- dated pack GOGO|2026-11-05: GOGO: Q3 2026 earnings (yfinance-derived, no company PR) (date confirmed=False)
- dated pack GOGO|2028-04-30: GOGO: single-date debt maturity wall at ~3.8x leverage (date confirmed=False)

What remains unverified

- The 10-Q itself ([sec.gov filing](#)) was **not read** — litigation accrual, covenant headroom, and the FCC receivable detail are all open.
- The true post-subsidy free-cash-flow run rate (bounded \$30–75M, unresolvable from press releases alone).
- Whether Galileo (the new satellite product) replaces legacy *margin*, not just legacy units.
- The actual court docket on SmartSky (only press coverage read).
- Live broker tape and book state (IBKR permission-denied both benches; Yahoo tape used).
- The November 5 earnings date (software-derived, no company confirmation).

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